

Notes: Goldstein, Ozdenoren, and Yuan (JFE, 2013)

Trading Frenzies and Their Impact on Real Investment

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1 One-sentence summary

This note summarizes the paper, which develops a feedback-based theory of trading frenzies in which speculators' coordinated trading moves prices, prices guide a capital provider's real investment decision, and that real investment response feeds back into security payoffs, creating strategic complementarities in trading and a wedge between privately optimal coordination and investment-efficient coordination.

2 Big picture

2.1 Research question

The paper asks: **when can speculative trading become self-reinforcing, and why can such trading affect real investment rather than merely move secondary-market prices?**

The core empirical motivation is a bear-raid or boom episode: many traders sell or buy the same security, the price moves sharply, lenders or capital providers infer information from the price, and their real decisions then validate part of the price movement. The paper formalizes this loop.

2.2 Central mechanism

The paper's mechanism has three steps.

1. **Speculators trade on signals about firm productivity.** Each speculator observes one idiosyncratic private signal and one common signal.
2. **The price aggregates these trades.** Because supply is noisy and price elastic, the price is informative but not fully revealing.
3. **The capital provider learns from the price.** The capital provider uses the price and his own private signal to choose investment. Since the traded security's payoff depends on investment, speculators care not only about how their trades move price, but also about how price affects real investment and payoff.

This creates two opposing strategic forces:

- **Price-pressure strategic substitutes:** if others trade on the common signal, that signal is already in the price, so an individual speculator has less incentive to trade on it.
- **Feedback strategic complementarities:** if others trade on the common signal, that signal affects the price more strongly; the capital provider reacts more strongly; real investment and the payoff move in the same direction; therefore an individual speculator has more incentive to trade on the same common signal.

A trading frenzy occurs when the second force dominates, so speculators place excessive weight on common information and trade in the same direction.

3 Incremental contribution of the paper

3.1 Relative to theories of herding and trading frenzies

Earlier models often generate herding or excess volatility through information acquisition complementarities, beauty contests, or learning by traders inside the financial market. This paper’s distinctive contribution is to make the **real feedback effect** the source of strategic complementarity. Traders coordinate because their trades affect the real decision maker’s action, not merely because they want to imitate other traders.

3.2 Relative to feedback-effect models

The paper contributes to the price-informativeness and feedback literature by embedding learning from prices into a model of speculative trading. The market is not a sideshow: price affects capital provision, and capital provision affects the traded security’s payoff. This turns the market from a passive signal aggregator into an active determinant of firm value.

3.3 Relative to corporate-finance investment models

The paper gives a theoretical channel through which secondary-market trading can affect real investment even when no cash is raised in the secondary market. This is important because the feedback is purely informational: the capital provider observes the price and adjusts investment based on what the price reveals.

3.4 Relative to policy debates about short-selling bans and market intervention

The paper shows why speculative trading can generate inefficient real effects, but it also cautions against simple limits on informed trading. Reducing speculative positions can reduce information in prices directly. A more subtle implication is that market liquidity affects speculators’ incentive to coordinate and therefore can change investment efficiency.

4 Model structure

4.1 Timeline

Date	Action
$t = 0$	Speculators observe signals about firm productivity and submit buy/sell market orders. A price clears the asset market.
$t = 1$	The capital provider observes the price and his own private signal, forms a posterior belief about productivity, and chooses investment I .
$t = 2$	Cash flow is realized. The capital provider receives share $\beta\tilde{F}I$ and the traded asset pays $(1 - \beta)\tilde{F}I$.

4.2 Productivity and investment technology

The firm has productivity $\tilde{F}$ and investment I . It produces cash flow

$$\tilde{F}I. \quad (1)$$

The logarithm of productivity is normal:

$$\tilde{f} \equiv \ln \tilde{F} \sim N(\bar{f}, \sigma_f^2), \quad \tau_f \equiv \frac{1}{\sigma_f^2}. \quad (2)$$

The capital provider captures share β of cash flow and pays a convex private cost of providing capital:

$$C(I) = \frac{1}{2}cI^2, \quad c > 0. \quad (3)$$

Given information set $\mathcal{F}_l$, he solves

$$I^* = \arg \max_I \mathbb{E} \left[\beta \tilde{F}I - \frac{1}{2}cI^2 \mid \mathcal{F}_l \right]. \quad (4)$$

The first-order condition is

$$\beta \mathbb{E}[\tilde{F} \mid \mathcal{F}_l] - cI = 0, \quad (5)$$

so the optimal investment is

$$I^* = \frac{\beta}{c} \mathbb{E}[\tilde{F} \mid \mathcal{F}_l]. \quad (6)$$

Interpretation. Investment is increasing in the posterior expectation of productivity. Therefore, any market price that changes the capital provider's posterior belief changes real investment.

4.3 Capital provider's information

At date 1, the capital provider observes the asset price P and a private signal

$$\tilde{s}_l = \tilde{f} + \sigma_l \tilde{\epsilon}_l, \quad \tilde{\epsilon}_l \sim N(0, 1), \quad \tau_l = \frac{1}{\sigma_l^2}. \quad (7)$$

His information set is

$$\mathcal{F}_l = \{\tilde{s}_l, P\}. \quad (8)$$

The price matters because it summarizes the trades of speculators who have information that the capital provider may not have.

4.4 Speculators' information and trading problem

There is a continuum of risk-neutral speculators $i \in [0, 1]$. Each speculator observes two signals:

$$\tilde{s}_i = \tilde{f} + \sigma_s \tilde{\epsilon}_i, \quad \tilde{\epsilon}_i \text{ independent across speculators}, \quad \tau_s = \frac{1}{\sigma_s^2}, \quad (9)$$

$$\tilde{s}_c = \tilde{f} + \sigma_c \tilde{\epsilon}_c, \quad \tilde{\epsilon}_c \text{ common to all speculators}, \quad \tau_c = \frac{1}{\sigma_c^2}. \quad (10)$$

The common signal can be interpreted as a rumor, public narrative, or shared information shock. The idiosyncratic signal captures each speculator's private information.

Each speculator chooses a position $x(i) \in [-1, 1]$ in the traded asset. The traded asset pays

$$(1 - \beta)\tilde{F}I. \quad (11)$$

Speculator i solves

$$\max_{x(i) \in [-1, 1]} x(i) \mathbb{E} \left[(1 - \beta)\tilde{F}I - P \mid \mathcal{F}_i \right], \quad \mathcal{F}_i = \{\tilde{s}_i, \tilde{s}_c\}. \quad (12)$$

Because speculators are risk neutral and face position limits, each speculator buys one unit if expected payoff exceeds price and sells one unit otherwise.

4.5 Noisy supply and price clearing

The market also contains uninformed supply/noise trading. Supply is

$$Q(\tilde{\xi}, P) = 1 - 2\Phi(\tilde{\xi} - \alpha \ln P), \quad (13)$$

where $\tilde{\xi} \sim N(0, \sigma_\xi^2)$ and $\tau_\xi = 1/\sigma_\xi^2$.

The parameter α is the price elasticity of supply. A higher α means supply absorbs order flow with a smaller price movement; this is interpreted as higher market liquidity.

5 Linear monotone equilibrium and core derivation

5.1 Trading rule

The paper focuses on linear monotone equilibria. Speculators buy when a linear combination of signals is high enough:

$$x(\tilde{s}_i, \tilde{s}_c) = \begin{cases} 1, & \tilde{s}_i + k\tilde{s}_c \geq g, \\ -1, & \tilde{s}_i + k\tilde{s}_c < g. \end{cases} \quad (14)$$

Here k is the weight placed on the common signal. It is the key coordination variable. A larger k means speculators rely more heavily on common information and therefore trade more similarly.

5.2 Aggregate demand

Since $\tilde{s}_i = \tilde{f} + \sigma_s \tilde{\epsilon}_i$ and $\tilde{s}_c = \tilde{f} + \sigma_c \tilde{\epsilon}_c$, a speculator buys when

$$\sigma_s \tilde{\epsilon}_i \geq g - (1 + k)\tilde{f} - k\sigma_c \tilde{\epsilon}_c. \quad (15)$$

The fraction buying is therefore

$$1 - \Phi \left(\frac{g - (1 + k)\tilde{f} - k\sigma_c \tilde{\epsilon}_c}{\sigma_s} \right), \quad (16)$$

and the fraction selling is

$$\Phi \left(\frac{g - (1+k)\tilde{f} - k\sigma_c\tilde{\epsilon}_c}{\sigma_s} \right). \quad (17)$$

Thus aggregate net demand by speculators is

$$X(\tilde{f}, \tilde{\epsilon}_c) = 1 - 2\Phi \left(\frac{g - (1+k)\tilde{f} - k\sigma_c\tilde{\epsilon}_c}{\sigma_s} \right). \quad (18)$$

5.3 Price from market clearing

Market clearing requires

$$Q(\tilde{\xi}, P) = X(\tilde{f}, \tilde{\epsilon}_c). \quad (19)$$

Using the expressions above,

$$1 - 2\Phi(\tilde{\xi} - \alpha \ln P) = 1 - 2\Phi \left(\frac{g - (1+k)\tilde{f} - k\sigma_c\tilde{\epsilon}_c}{\sigma_s} \right). \quad (20)$$

Since Φ is strictly increasing, this implies

$$\tilde{\xi} - \alpha \ln P = \frac{g - (1+k)\tilde{f} - k\sigma_c\tilde{\epsilon}_c}{\sigma_s}. \quad (21)$$

Solving for price gives

$$P = \exp \left(\frac{(1+k)\tilde{f} + k\sigma_c\tilde{\epsilon}_c - g + \sigma_s\tilde{\xi}}{\alpha\sigma_s} \right) = \exp \left(\frac{\tilde{f} + k\tilde{s}_c - g + \sigma_s\tilde{\xi}}{\alpha\sigma_s} \right). \quad (22)$$

Interpretation. Price rises with true productivity $\tilde{f}$ and with the common signal, but it is also contaminated by noise trading $\tilde{\xi}$.

5.4 The price as a signal

The price is informationally equivalent to the statistic

$$z(P) \equiv \frac{g + \alpha\sigma_s \ln P}{1+k}. \quad (23)$$

Substituting the price expression,

$$z(P) = \tilde{f} + \frac{k}{1+k}\sigma_c\tilde{\epsilon}_c + \frac{1}{1+k}\sigma_s\tilde{\xi} \quad (24)$$

$$= \frac{1}{1+k}\tilde{f} + \frac{k}{1+k}\tilde{s}_c + \frac{1}{1+k}\sigma_s\tilde{\xi}. \quad (25)$$

Therefore, $z(P)$ is a noisy signal of productivity. Its noise has two parts: common-signal noise and liquidity/noise-trading noise.

The conditional variance of $z(P)$ given $\tilde{f}$ is

$$\sigma_p^2 = \left(\frac{k}{1+k} \right)^2 \sigma_c^2 + \left(\frac{1}{1+k} \right)^2 \sigma_s^2 \sigma_\xi^2. \quad (26)$$

The corresponding precision is

$$\tau_p = \frac{1}{\sigma_p^2} = \frac{(1+k)^2 \tau_c \tau_\xi \tau_s}{k^2 \tau_\xi \tau_s + \tau_c}. \quad (27)$$

Trade-off in k . Higher k makes speculative trading more coordinated, which helps overcome noise trading, but it also loads the price more heavily on common-signal noise. This trade-off later determines the investment-efficient level of coordination.

5.5 Capital provider's posterior and investment

The capital provider observes $\tilde{s}_l$ and $z(P)$. Because the prior and signals are normal, the posterior mean of $\tilde{f}$ is the precision-weighted average

$$\mathbb{E}[\tilde{f} \mid \tilde{s}_l, z(P)] = \frac{\tau_f \bar{f} + \tau_l \tilde{s}_l + \tau_p z(P)}{\tau_f + \tau_l + \tau_p}. \quad (28)$$

The posterior variance is

$$\frac{1}{\tau_f + \tau_l + \tau_p}. \quad (29)$$

Because $\tilde{F} = \exp(\tilde{f})$, lognormality implies

$$\mathbb{E}[\tilde{F} \mid \tilde{s}_l, z(P)] = \exp \left(\frac{\tau_f \bar{f} + \tau_l \tilde{s}_l + \tau_p z(P)}{\tau_f + \tau_l + \tau_p} + \frac{1}{2(\tau_f + \tau_l + \tau_p)} \right). \quad (30)$$

Therefore,

$$I = \frac{\beta}{c} \exp \left(\frac{\tau_f \bar{f} + \tau_l \tilde{s}_l + \tau_p z(P)}{\tau_f + \tau_l + \tau_p} + \frac{1}{2(\tau_f + \tau_l + \tau_p)} \right). \quad (31)$$

Economic message. When speculative trading moves the price, it changes $z(P)$; when $z(P)$ changes, it changes investment. This is the feedback effect.

5.6 Speculator's best response

Speculator i buys if

$$\mathbb{E} \left[(1 - \beta) \tilde{F} I - P \mid \tilde{s}_i, \tilde{s}_c \right] > 0. \quad (32)$$

Using the investment rule and the price rule, the expected payoff from buying can be written as

$$\frac{\beta(1 - \beta)}{c} \exp(a_0 + a_1 \tilde{s}_i + a_2 \tilde{s}_c) - \exp(b_0 + b_1 \tilde{s}_i + b_2 \tilde{s}_c), \quad (33)$$

where the a coefficients capture the expected real payoff channel and the b coefficients capture the expected price channel.

Buying is optimal if and only if this difference is positive. Taking logs and rearranging gives

$$\tilde{s}_i + B(k)\tilde{s}_c \geq C(k), \quad (34)$$

where

$$B(k) = \frac{a_2 - b_2}{a_1 - b_1}. \quad (35)$$

In equilibrium, the weight speculators actually put on the common signal must equal the best-response weight:

$$k = B(k). \quad (36)$$

Interpretation. The equilibrium k^* is a fixed point. It summarizes how much speculators coordinate by relying on common information.

6 Why the feedback effect creates trading frenzies

6.1 Benchmark without learning from price

If the capital provider does not learn from the price, his investment rule becomes

$$I^{BM} = \frac{\beta}{c} \mathbb{E}[\tilde{F} \mid \tilde{s}_l] = \frac{\beta}{c} \exp \left(\frac{\tau_f \bar{f} + \tau_l \tilde{s}_l}{\tau_f + \tau_l} + \frac{1}{2(\tau_f + \tau_l)} \right). \quad (37)$$

Then the only strategic interaction comes from the price mechanism. When others put more weight on the common signal, the common signal becomes more incorporated into the price. This makes it less profitable for an individual trader to use the same signal. Therefore the benchmark best response is decreasing.

The benchmark equilibrium weight k_{BM} satisfies

$$k_{BM} < \frac{\tau_c}{\tau_s}. \quad (38)$$

The ratio τ_c/τ_s is the weight that would arise from relative signal precision alone. In the benchmark, price pressure pushes the common-signal weight below this ratio.

6.2 Main model with feedback

In the main model, the common signal affects price and price affects real investment. If many speculators sell based on a negative common signal, price falls; the capital provider infers bad productivity; capital provision falls; the security's real payoff falls; and the original selling becomes more profitable. Thus, other traders' reliance on common information makes an individual trader want to rely on that same common information.

This feedback effect pushes

$$k^* > k_{BM}. \quad (39)$$

For sufficiently high supply elasticity α , the equilibrium weight also exceeds the simple precision ratio:

$$k^* > \frac{\tau_c}{\tau_s}. \quad (40)$$

This is the formal meaning of a trading frenzy: common information is overweighted relative to what its statistical precision alone would justify.

7 Figures from the paper

7.1 Figure 1: Best response functions

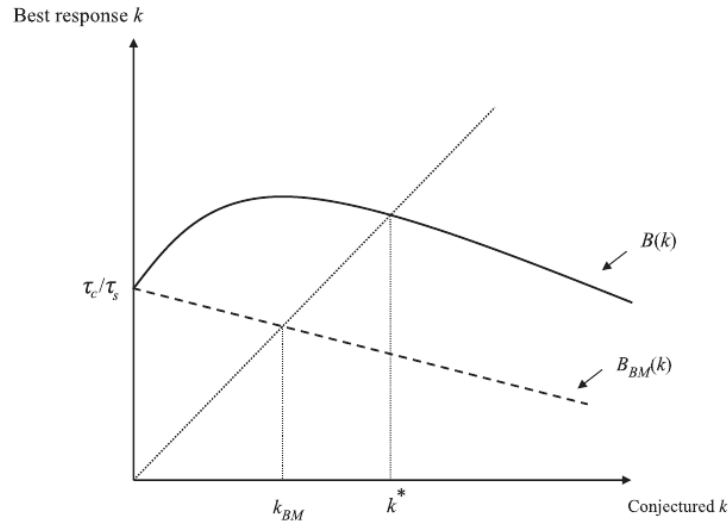


Figure 1: Best response functions. The dashed curve is the benchmark best response without feedback from price to real investment. The solid curve is the best response with feedback. The intersection with the 45-degree line gives the equilibrium common-signal weight. Feedback shifts coordination upward from k_{BM} to k^* .

How to read the figure. The horizontal axis is the conjectured weight other speculators place on the common signal. The vertical axis is one speculator's best-response weight. Without feedback, the best response slopes downward because the price mechanism creates strategic substitutes. With feedback, the best response rises above the benchmark because common trading affects the capital provider's investment decision and therefore the security payoff. The main-model equilibrium k^* is higher than the no-feedback equilibrium k_{BM} .

8 Comparative statics: determinants of trading frenzies

8.1 Supply elasticity and liquidity

The parameter α measures supply elasticity with respect to price. Higher α means liquidity is higher: order flow moves price less.

The paper proves that

$$\frac{\partial k^*}{\partial \alpha} > 0 \quad (41)$$

for sufficiently high α .

Economic intuition. In an illiquid market, if many traders use the same common signal, price already reacts strongly, reducing the payoff to any additional trader using that signal. In a liquid market, price impact is weaker, so this strategic-substitute force is weaker. The feedback force then dominates more easily, increasing coordination.

Empirical interpretation. Trading frenzies should be more likely in markets where order flow can be absorbed without immediately eliminating trading profits through large price impact.

8.2 Noise trading

Noise trading is captured by σ_ξ^2 . A higher σ_ξ^2 means more variation in uninformed supply or liquidity shocks.

The paper proves

$$\frac{\partial k^*}{\partial \sigma_\xi^2} < 0. \quad (42)$$

Equivalently, since $\tau_\xi = 1/\sigma_\xi^2$, higher precision of noise trading means lower noise and more coordination.

Economic intuition. When price is very noisy, the capital provider relies less on the price. This weakens feedback from market price to investment, so the complementarity among speculators becomes weaker. When price is less noisy, the capital provider reacts more strongly to price, making coordination more profitable.

8.3 Information precision

The paper proves the following comparative statics for sufficiently high α :

$$\frac{\partial k^*}{\partial \tau_s} < 0, \quad (43)$$

$$\frac{\partial k^*}{\partial \tau_c} > 0, \quad (44)$$

$$\frac{\partial k^*}{\partial \tau_l} < 0. \quad (45)$$

- Higher precision of speculators' private signals τ_s reduces reliance on the common signal.

- Higher precision of the common signal τ_c increases reliance on the common signal.
- Higher precision of the capital provider's private signal τ_l reduces reliance on the common signal because the capital provider relies less on the market price.

Economic message. Trading frenzies are most likely when speculators share relatively precise common information, idiosyncratic information is weak, and the real decision maker has to learn heavily from the price.

9 Investment efficiency

9.1 Efficiency criterion

The paper evaluates efficiency using the ex ante expected net benefit of investment:

$$\mathbb{E}_0 \left[\max_I \mathbb{E} \left[\tilde{F}I - \frac{1}{2}cI^2 \mid \tilde{s}_l, P \right] \right]. \quad (46)$$

Since the financial market affects investment only by providing information to the capital provider, investment efficiency is maximized when the price is most informative about $\tilde{f}$.

9.2 Optimal coordination

The price-signal precision is

$$\tau_p(k) = \frac{(1+k)^2 \tau_c \tau_\xi \tau_s}{k^2 \tau_\xi \tau_s + \tau_c}. \quad (47)$$

Maximizing price precision with respect to k yields

$$k^{OP} = \frac{\tau_c}{\tau_s \tau_\xi}. \quad (48)$$

Derivation. Since maximizing investment efficiency is equivalent to maximizing $\tau_p(k)$, consider

$$\ln \tau_p(k) = 2 \ln(1+k) + \ln(\tau_c \tau_\xi \tau_s) - \ln(k^2 \tau_\xi \tau_s + \tau_c). \quad (49)$$

The first-order condition is

$$\frac{2}{1+k} - \frac{2k \tau_\xi \tau_s}{k^2 \tau_\xi \tau_s + \tau_c} = 0. \quad (50)$$

Dividing by 2 and cross-multiplying,

$$k^2 \tau_\xi \tau_s + \tau_c = k(1+k) \tau_\xi \tau_s. \quad (51)$$

Canceling $k^2 \tau_\xi \tau_s$ from both sides gives

$$\tau_c = k \tau_\xi \tau_s, \quad (52)$$

so

$$k^{OP} = \frac{\tau_c}{\tau_s \tau_\xi}. \quad (53)$$

9.3 The conflict between equilibrium and efficiency

The key tension is that the efficient level of coordination and the privately chosen level of coordination move in opposite directions with noise trading.

- When noise trading is high, coordination is socially useful because coordinated informed trading helps price overcome noise trading.
- But when noise trading is high, the capital provider relies less on the price, so speculators have weaker private incentives to coordinate.
- When noise trading is low, speculators have strong incentives to coordinate because the price strongly affects investment.
- But when noise trading is low, coordination is less socially useful and may inject common-signal noise into the price.

Thus speculators coordinate too much in low-noise markets and too little in high-noise markets.

10 Nonfundamental volatility

10.1 Price volatility

The paper defines nonfundamental volatility of the price as volatility not driven by true productivity. From the price statistic,

$$z(P) - \tilde{f} = \frac{k}{1+k} \sigma_c \tilde{\epsilon}_c + \frac{1}{1+k} \sigma_s \tilde{\xi}. \quad (54)$$

This volatility is minimized at the investment-efficient coordination level k^{OP} , and the minimized value is

$$\frac{1}{\tau_c + \tau_s \tau_\xi}. \quad (55)$$

10.2 Investment volatility

Since investment depends on the capital provider's posterior, noise in price also creates nonfundamental volatility in investment. This volatility is minimized at k^{OP} and equals

$$\frac{1}{\tau_l + \tau_c + \tau_s \tau_\xi}. \quad (56)$$

Economic message. Mis-coordination among speculators affects not only asset-price volatility but also volatility in real investment.

11 Suggestive empirical motivation

The paper provides suggestive evidence using short-sale data. It defines a bear raid as a stock-week in which the short-sale ratio is above the 95th percentile and the next-week return is negative.

The evidence is consistent with the model’s feedback mechanism:

- Raided firms rely more on short-term funding than other firms, measured by current debt over current assets.
- After a bear raid, firms experience a decline in cash and current debt, consistent with difficulty rolling over debt or maintaining access to capital.
- Operating earnings also decline after raids, suggesting that financial-market pressure can spill over into real operations.

This is not presented as a definitive causal test. Instead, it motivates the model and suggests empirical implications for future work.

12 Policy implications

12.1 Why simple short-sale bans are not obviously welfare-improving

A tempting policy response is to restrict speculative trading. The model warns that this may reduce the amount of information in prices. Since the capital provider uses prices to make investment decisions, less informative prices can reduce investment efficiency.

12.2 Why liquidity policy may matter

The paper suggests that liquidity has a subtler role. The supply elasticity parameter α affects the equilibrium level of coordination but has no direct effect on price informativeness except through coordination. Therefore, policies that affect market liquidity can, in principle, move coordination closer to the efficient level.

12.3 Main regulatory takeaway

The correct regulatory target is not simply “less speculation.” Instead, the model implies that the welfare effect of intervention depends on whether the market has too much or too little coordination relative to the price-informativeness benchmark.

13 Connection to broader research themes

13.1 Demand-system asset pricing and real allocation

The paper is closely related to demand-system asset pricing in spirit because it treats asset demand as an object with real consequences. Speculators’ demand is not merely a pricing outcome; it changes the information content of prices, which affects real capital allocation.

13.2 Capital wedge and financing constraints

The capital provider's investment decision can be interpreted as a reduced-form capital-supply constraint. When price becomes distorted by a trading frenzy, the firm faces an endogenous capital wedge: investment moves away from what would be chosen under fully informative prices.

13.3 Organizational and opportunity allocation

The model also maps naturally into organizational allocation questions. A common signal or rumor can shift decision makers' beliefs and reallocate real opportunities, even when the signal contains noise. The mechanism is useful for thinking about how information environments shape access to capital, projects, or organizational attention.

14 Conclusion

Goldstein, Ozdenoren, and Yuan provide a theory of trading frenzies in which the real effect of financial markets is central. Speculators coordinate because their trades influence price, price influences capital provision, and capital provision influences the security payoff. The paper's most important insight is that market feedback can transform common information into a coordination device. This can generate bear raids or buying frenzies with real consequences for investment.

The paper also shows that trading frenzies are not always socially bad. Coordination can improve price informativeness when noise trading is high, but it can reduce informativeness when common-signal noise is important. The privately chosen level of coordination generally differs from the investment-efficient level, creating nonfundamental volatility in both prices and real investment.

Key takeaway

A financial market can create real distortions not only because prices are wrong, but because real decision makers learn from prices. Once prices guide investment, speculators have incentives to coordinate on common information, and the resulting trading frenzy can become self-reinforcing through the firm's real investment response.